

ROYALTY DISTRIBUTION AGREEMENT

Ref. ROY-2013-07 San Juan County, NM

PURPOSE

This Agreement governs the calculation, reporting, and distribution of royalties payable with respect to production from the tracts identified on the schedule maintained by the NTEC Land Department, between Navajo Nation Minerals Dept. and NTEC Operations LLC.

Royalty Rate: 12.5%
Reporting Cycle: Monthly reconciliation; quarterly distribution
Effective Date: December 30, 2013
Term Ends: December 31, 2032

REPORTING OBLIGATIONS

- Royalty statements shall be delivered on or before the due date each reporting period.
- Volumes shall be measured and allocated in accordance with the governing lease terms.
- Underpayments and overpayments shall be reconciled in the following distribution cycle.

NOTES

Governs royalty allocation across coal tracts. Quarterly reconciliation.

PAYOR - NTEC Operations LLC

PAYEE / TRUSTEE - Navajo Nation Minerals Dept.

Date: _____

Date: _____